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August 1, 2017					
FEDERAL MARITIME COMMISSION					

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-03

ANTONIO EGBERTO CARNEIRO LIMA

v.

**FASTWAY MOVING AND STORAGE, INC., d/b/a DREAM CARGO, d/b/a FASTWAY,
d/b/a FASTWAY MOVING; FASTWAY MOVING AND SERVICES CORP.;
FASTWAY MOVING AND TRADING CORP.; ABREU LOPES TRANSPORTES LTDA;
and ABREU LOGISTICS USA, LLC d/b/a ABREU LOGISTICS & CARGO**

**ORDER FOR RESPONDENTS TO SHOW CAUSE AND
ORDER FOR COMPLAINANT TO SHOW CAUSE**

On April 20, 2017, the Commission issued a Notice of Filing of Complaint and Assignment for this proceeding with a letter advising the Respondents that an answer to the complaint is due within twenty-five days after the date of service. On April 25, 2017, the parties were ordered to submit a joint status report with proposed schedule within twenty days of the service of the answer. On June 21, 2017, the parties were ordered to file a joint status report.

The order requiring a status report stated: "The parties are expected to participate fully in this proceeding. Failure to serve a respondent may result in a dismissal of that respondent from the proceeding. Failure to file an answer or status report may result in a default judgment against respondents." Order Requiring Status Report at 1.

Complainant has failed to sufficiently demonstrate notice to all of the five Respondents and all of the Respondents have failed to respond to the proceeding. This proceeding was filed over three months ago and almost no progress has been made to resolve it. Accordingly, Complainant is ordered to show cause why a decision should not be issued dismissing the complaint against any Respondents who have not been served. Respondents are ordered to show cause why a decision should not be issued finding Respondents in default and awarding damages to Complainant. To expedite the proceeding, Respondents' response to the show cause order will be due before Complainant's response to the show cause order is due.

ORDER FOR RESPONDENTS TO SHOW CAUSE

The Commission's rules require that Respondents file their answer or otherwise respond within twenty-five days after the date of service. 46 C.F.R. § 502.62(b). While it is not clear whether all of the Respondents have been served, it does appear that at least one and perhaps most of the Respondents have been served. No answer or response has been filed to date by any of the Respondents. In addition, the parties were served an initial order and an order requiring status report. Respondents have not responded to either of these orders.

Pursuant to Commission Rules:

Failure of a party to file an answer to a complaint . . . within the time provided will be deemed to constitute a waiver of that party's right to appear and contest the allegations of the complaint . . . and to authorize the presiding officer to enter an initial decision on default as provided for in 46 CFR 502.65. Well pleaded factual allegations in the complaint not answered or addressed will be deemed to be admitted.

46 C.F.R. § 502.62(b)(6).

Respondents who have been served are currently in default. There may be some valid reason why the Respondents have failed to respond. Therefore, they will be granted additional time to respond to the proceeding and to show cause why judgment should not be entered against them. If the Respondents fail to respond to this order to show cause by August 25, 2017, a default decision may be entered against them.

ORDER FOR COMPLAINANT TO SHOW CAUSE

Commission rules provide that a complaint may be dismissed for failure to prosecute. "If the complainant fails to prosecute or to comply with these rules or an order in the proceeding, a respondent may move to dismiss the action or any claim against it, or the presiding officer, after notice to the parties, may dismiss the proceeding on its own motion." 46 C.F.R. § 502.72(b). The order requiring a status report states that "[f]ailure to serve a respondent may result in a dismissal of that respondent from the proceeding." Order Requiring Status Report at 1.

Complainant did not file a status report and did not file a motion for default decision. Rather, the Complainant filed a declaration regarding the status of service on Respondents ("declaration"). The declaration listed addresses that were served. However, it was not clear which Respondent was served ("Fastway" and "Respondent" are listed without an indication of which of these five Respondents). It is also not clear what was served – whether it included the filed complaint (with case number) and letter from the Commission requiring a response or whether it was something else. The attached certificate of service, indicating service of the declaration, was similarly not clear.

Typically, complainants are able to specify (1) what was served, (2) each individual respondent served, (3) date of service, (4) method of service, and (5) why the service address provides notice to the party. A default decision is only appropriate against a respondent after that respondent has been provided notice of the proceeding. It would be helpful to attach receipts or documents showing service and it may be helpful to contact the Commission's Office of the Secretary to see if they have any receipts or documents that demonstrate service. The complaint states that these Respondents "operate interchangeably as one business and are inexorably intertwined." Complaint at 2. If the Complainant is arguing that service to one of the Respondents constitutes service to any of the other Respondents, that argument will need to be made in a motion for default and there must be case law, preferably federal cases, that support the argument.

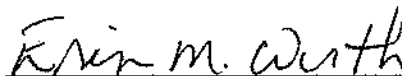
As indicated below, the Respondents will be required to respond to the complaint. After they have had an opportunity to do so, by September 12, 2017, Complainant must file a motion showing cause why the complaint should not be dismissed against each individual Respondent who has not been served. In addition, Complainant must file a motion seeking a default decision or proposing a schedule for the case to proceed. The default motion should include information showing notice to each Respondent; evidence supporting the case (for example, bills of lading, emails between Complainant and Respondents, or other information regarding the shipment at issue); an explanation of why each Respondent was included in the case; an analysis of the relevant legal factors; and the "actual injury" justifying the claim for damages. *See* 46 U.S.C. § 41305(b). Note that the Shipping Act allows only for compensation for actual injury, not for general damages of pain, suffering, or inconvenience and not for punitive damages.

ORDER

For the reasons stated above, it is hereby

ORDERED that on or before August 25, 2017, Respondents file their answer or respond to the complaint and file a motion showing cause why a decision on default should not be entered against them. It is

FURTHER ORDERED that on or before September 12, 2017, Complainant file a motion showing cause why the complaint should not be dismissed for failure to prosecute and a motion seeking default decision or proposing a schedule for the case to proceed.



Erin M. Wirth
Administrative Law Judge